(the number of shares the debt converts to will be set at a level so as dilute the value of old equity substantially), while also giving banks that anticipate losses an incentive to raise new equity well in time.

Another version of contingent capital is to require that systemically important levered financial institutions buy fully collateralized insurance policies (from unlevered institutions, foreigners, or the government) that will infuse capital into these institutions when the system is in trouble.

Here is one way it could operate. Megabank would issue capital insurance bonds, say to sovereign wealth funds. It would invest the proceeds in Treasury bonds, which would then be placed in a custodial account in State Street Bank. Every quarter, Megabank would pay a pre-agreed insurance premium (contracted at the time the capital insurance bond is issued) which, together with the interest accumulated on the Treasury bonds held in the custodial account, would be paid to the sovereign fund.

If the aggregate losses of the banking system exceed a certain pre-specified amount, Megabank would start getting a payout from the custodial account to bolster its capital. The sovereign wealth fund will now face losses on the principal it has invested, but on average, it will have been compensated by the insurance premium.

Consider next regulations aimed at 'too-big-to-fail' institutions. Regulations to limit their size and activities will become very onerous when growth is high, thus increasing the incentive to dilute them. Perhaps, instead, a more cyclically sustainable regulation would be to make these institutions easier to close. What if systemically important financial institutions were required to develop a plan that would enable them to be resolved over a weekend? Such a 'shelf bankruptcy' plan would require banks to track, and document, their exposures much more carefully and in a timely manner, probably through much